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CHINA.

REPORT FOR THE YEAR 1886

ON THE

TRADE OF TAMSUI (FORMOSA).

REFERENCE TO PREVIOUS REPORT [C. 4658] China, No. 2, 1886.

Presented to both Houses of Parliament by Command of Her Majesty,

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CHINA.

TAMSUI (FORMOSA).

Consul Giles to the Marquis of Salisbury.

My Lord, *Her Majesty's Consulate, Tamsui, March* 1, 1887.

I HAVE the honour to enclose my report on the trade in foreign vessels at the ports of Tamsui and Kelung during the year ended on December 31, 1886.

I have, &c.
(Signed) H. A. GILES.

Trade Report at Tamsui and Kelung during the Year 1886.

Commerce and shipping.

Last year's value of trade for this port reached the unprecedented total of 4,537,465 taels. This year shows a total value of no less than 5,462,503 taels, being an increase of nearly 1,000,000 taels.

	Taels.
Foreign imports	1,516,614
Chinese „	533,944
Total imports	2,050,558
„ exports	3,411,945
Total value	5,462,503

The net total importation of opium has further increased from 1,440 piculs in 1885 to 1,632 piculs in 1886.

The imports generally were thus distributed:—

		Taels.
Foreign goods—		
From Straits Settlements		1,463
Japan and Philippine Islands		583
Hong Kong		1,200,792
Treaty ports		313,776
Total		1,516,614
Native goods—		
From treaty ports	306,926	
Hong Kong	227,018	
		533,944
Total imports		2,050,558

The exports generally were thus distributed:—

	Taels.
To Hong Kong for foreign countries	38,513
Treaty ports direct	3,373,432
Total exports	3,411,945

The tonnage of the port was shared according to the following table of percentages:—

Ports.	Tonnage Employed.	Total Foreign and Coast Trade.	Duties on Cargo.	Tonnage Dues.
British	66·17	87·96	89·16	51·80
German	26·91	11·67	10·67	30·32
Chinese	05·45	00·21	00·02	11·20
American	01·06	00·20	00·14	..
Danish	00·41	00·01	00·01	06·68
Total	100 00	100·00	100·00	100·00

The export of tea has slightly decreased, showing a total of 16,171,600 lbs. for 1886 against 16,364.000 lbs. for 1885. But it must be borne in mind that the export for 1885 exceeded that of any previous year by over 3,000,000 lbs.

Comparative tables showing the details of the import and export trades for the years 1882–1886 are annexed.

General. 1886 has left its mark upon the history of Tamsui. The long talked-of cable contract has at length been definitely undertaken by a British firm, and in a few months Formosa will be in telegraphic communication with the outer world.

Of this move it is difficult to forecast the results. It is, in fact, only the moiety of a scheme; the remainder of which, if carried out, would connect Twatutia, the seat of the Formosa tea-market, by railway with the fine harbour of Kelung. Then, it is anticipated, ocean steamers would load at Kelung for America direct; and Amoy would have to fall back upon its own scanty resources.

Such, at any rate, is the scheme of the present enterprising Governor; and if he remains in office, there is every probability that it will be ultimately accomplished. As a preliminary step he is laying down a good carriage road, which he proposes to extend from Twatutia to Kelung, and a number of jinrickshas, not to mention several private carriages, have been imported from Shanghai.

The past season has been in many respects a trying one for the Governor. Much time has been lost in "pacifying" the savages, who, as they recede gradually farther into the interior, are dyeing every inch of lost territory with the blood of their hated enemies. Their mode of procedure is characteristically savage. After a glut of fighting, the chiefs of several tribes arrange terms of peace, which generally include cession of acres on the one part and gimcrack presents on the other. Perhaps a few of the more unwarlike savages are induced to shave their heads and wear false queues. Then ensues a period of peace. The woodcutter pushes venturesomely afield over the savage boundary, and the "braves" of the Chinese encampments substitute opium and dice for long night vigils on the hillside. The next thing we hear is that the savages have made a raid, the extent of which is

gauged by the number of missing heads. Then troops are moved rapidly to the frontier, and the work of pacification begins again.

On one occasion during the past autumn the aspect of affairs was very serious. The savages succeeded in cutting off and surrounding a portion of the Chinese forces. Many of these were killed, and the general in command was shot through the cheek; and but for the timely arrival of the Governor in person, at the head of a large body of troops, it is probable that not a man would have escaped.

During the struggle the garrison at the Pescadores was drained to supply men. The garrisons here had been much reduced by disease, especially malarial fever, the curse of North Formosa. The daily death rate ranged very high, reaching a maximum record of 26, or just about 2 per cent. At this point the Governor interfered, stopped all work, and gave the soldiers a complete holiday.

For the moment we are enjoying an interval of peace. No less than 150 savages recently visited the Governor, and received each a present of 2 dol.

The administration of Formosa is still in a state of transition, being not yet absolutely separated from that of the Fokein province. To make this island, or at any rate the Chinese-owned portion, into a province of the Chinese empire, it is necessary to take cognisance of its measurements with a view to due assessment of the annual land-tax payable to the throne. Hitherto, neither this tax nor even the ordinary octrois have been collected from farmers and merchants in Formosa. And until the establishment of the foreign customs, import and export duties were alike unheard-of. Immunity from taxation of all kinds was the premium on settling in this extra-imperial wilderness.

The result is that great resistance has been offered by those enjoying such privileges to the efforts of the mandarins to bring the administration of Formosa into uniformity with that of the empire generally. Attempts to measure property and collect taxes have been frustrated, and in some cases actual violence has been used. The final issue is, however, only a question of time.

The almost extinct camphor trade has recently been taken under the protection of the authorities as a Government monopoly, with probable advantage to all concerned. For whereas it has of late years been impossible to procure camphor in remunerative quantities at one time and in one place, the Government now undertakes to collect at fixed depôts the scattered supplies, paying at a certain rate to the producer and retailing at a fair profit to the merchant for export.

Sulphur, of which a considerable quantity is produced within easy distance of the port, may now be exported if covered by certificate from the customs.

Four steam launches, owned by Chinese, now ply daily backwards and forwards between Hobei and Twatutia. A cargo-boat company has also been started by foreigners, not without opposition on the part of the established junk-owners. The company expects to run as many as nine or ten large cargo-boats during the coming tea-season, with more to follow if successful.

The old-established steamer line of Douglas Lapraik and Co. has had to face another attempt to share the profits of the carrying trade. A quasi-official Chinese company was started here last season, under the promised patronage of several large Chinese tea merchants, with the desirable object of lowering freights. This object they certainly succeeded in accomplishing, but at the price of all the small capital, 40,000 taels, upon the strength of which the opposition was launched. The company wound itself up in a summary way. All its books,

including a debit balance—in fact, its whole documentary existence—perished in the recent wreck of the "Wan-nien-ch'ing."

Of a much more vexatious character was the following interference with legitimate business. To meet the requirements of this port, with its shallow entrance and dangerous bar, Messrs. Douglas Lapraik and Co. built a special steamer, which was in every way perfectly adapted for the trade. On one of its earliest trips across to Amoy a Chinese passenger was missing, and from that moment the success of the steamer was for the time being doomed. A cry was raised that there was a "green devil" on board, and not a Chinese passenger would ship by her, preferring to wait for inferior and much more uncomfortable vessels rather than risk an interview with the dreaded bogie.

Of course the opposition profited considerably, Messrs. Douglas Lapraik and Co. being actually obliged to take off this particular steamer and give time a chance to set the public mind at rest. Luckily they were able to put her on a line where they have no opposition, and where it will be choice for superstitious passengers between the "green devil" or a junk.

The following case should be of interest to the banking community. A well-known Chinese merchant bought from a British firm at Twatutia a draft on Hong Kong for 10,000 dol., payable to order. The buyer, on receiving his draft, duly enclosed it in a letter to his own constituent in Hong Kong, and then handed it to the compradore of the British firm, requesting that the letter might be forwarded with the rest of the firm's mail. After a certain interval the buyer presented himself again at the hong, and said that the letter containing the draft had been lost; and not only that, but the draft had been presented at the bank and cashed. He therefore held the firm responsible, and asked for a renewal of his draft. The firm of course refused to see the matter in this light, and advised him to apply to the bank in Hong Kong for his money; but this he on his part declined to do. Then finding he could not raise an action against the British firm, he determined to press the matter in the Chinese courts against the compradore of the firm. Here, however, he encountered certain difficulties upon which he had evidently never calculated; the upshot being that the matter was allowed to drop, no effort being made to recover the money against the bank in Hong Kong.

The note had indeed been presented and cashed. It was payable to a Chinese firm which, in default of Chinese characters, I will call Ning and Co. It was endorsed Niug and Co.; that is to say, a character had been used for the endorsement which was not that of the style of the payee, but so closely resembling it that even the sharp eye of a Hong Kong bank shroff was deceived, and the money handed over to the wrong person. Thus, in case of detection, there would have been no risk of a prosecution for forgery. The fraudulent Ning and Co. would have pleaded that they were expecting drafts from Tamsui, and were equally deceived by the similarity of the two styles. Meanwhile, as no steps have been taken to recover from the bank, the whole thing seems to have been a quiet attempt to get a draft for 10,000 dol. paid twice over.

COMPARATIVE Table of the Import Trade for the Years 1882 to 1886.

Description of Goods.	Classifier of Quantity.	1882.	1883.	1884.	1885.	1886.
Cotton goods—						
Shirtings, grey	Pieces ...	31,315	45,669	36,738	48,940	48,510
,, white	,, ...	32,312	45,366	38,572	58,158	40,639
,, assorted	,, ...	16,068	17,413	21,078	56,909	57,376
Woollen goods—						
Camlets, English	,, ...	2,261	2,576	1,835	2,589	2,854
Long ells	,, ...	1,611	1,123	1,058	2,169	2,056
,, ,, assorted	,, ...	2,646	2,923	2,105	5,974	7,925
Metals—						
Iron nail, rod...	Piculs ...	820·13	544·68	1,070·62	646·91	1,119·30
Lead, in pigs	,, ...	7,204·59	8,345·97	9,707·70	8,401·90	10,680 60
Tin, in slabs	,, ...	169·00	120·75	138·09	180·09	163·55
Opium—						
Benares	,, ...	883·16	572·11	492·36	375·87	363·09
Patna	,, ...	...	3·60	26·40	2·40	7·29
Persian...	,, ...	576·87	468·49	380·21	302·32	104·57
Turkey	,, ...	184·49	284·53	413·16	830·08	1,207·84
Native	,, ...	1·50	...	0·50	4·99	...
Sundries—						
Cotton yarns and thread ...	,, ...	260·15	475·13	364·39	606·14	348·17
Cuttle fish	,, ...	1,298·00	2,414·25	1,072·17	2,073·01	2,870·36
Grass cloth, coarse	,, ...	428·61	113·84	137·67	194·77	171·48
,, ,, fine	,, ...	204·11	137·63	226·38	154·71	231·89
Lily flowers, dried	,, ...	1,404·89	1,295 40	1,305·57	1,579·35	1,881·99
Medicine	,, ..	885·34	905·61	960 53	1,738·10	1,904·11
Nankins	,, ...	128·78	397·29	483·40	870·93	632·73
Paper, first quality	,, ...	1,055·18	751·82	742·22	1,308·76	1,447·40
Prawns, dried..	,, ...	2,572·93	2,069·41	1,902·17	2,155·14	2,922·39
Silk piece goods	,, ...	25·59	19·07	35·30	60·47	93·18

COMPARATIVE Table of the Export Trade for the Years 1882 to 1886.

Description of Goods.	Calssifier of Quantity.	1882.	1883.	1884.	1885.	1886.
Agar-agar	Piculs ...	793·63	1,932·05	1,288·85	1,961·68	1,496·52
Camphor	,, ...	4,933·84	3,086·24	443·47	3·14	964·35
Coal	Tons ..	42,202	31,818	30,933	5,767	16,659
Hemp...	Piculs ...	230·94	105·34	6·60	67·65	71·08
Pitch paper	,, ...	91·26	139·03	59·62	103·06	74·33
Rattans	,, ...	52·80	...	91·50	...	1,847·83
Sugar, brown	,, ...	...	780·54	131·00	600·30	77·40
Tea, black	,, ...	90,303·35	99,050·45	98,674·36	122,730·31	121,287·07
,, stalk	,, ...	103·88	174·94	100·03	318·80	104·31
Timber—						
Planks, camphor wood ...	Pieces ...	8,062	4,036	8,380	2,978	7,779
,, hard ,, ...	,, ...	2,130	3,293	1,667	338	1,711